NETFLIX EXECUTIVE LEADERSHIP TEAM · 2025–2027

Netflix Subscriber Growth Strategy

+15% Paid Subscriber Growth in 24 Months

AI Personalized Bundles

Unlock +5% subscriber growth via ML-driven recommendation and bundling

Regional Content Expansion

Capture the 60% still-untapped opportunity across emerging markets

Student & Family Pricing

Reduce churn with affordable, flexible tiers for price-sensitive segments

Investment: **$1.5B**

Target: **274M Subscribers**

Timeline: **24 Months**

THE BUSINESS CASE

Growth Has Slowed — The Opportunity Is Clear

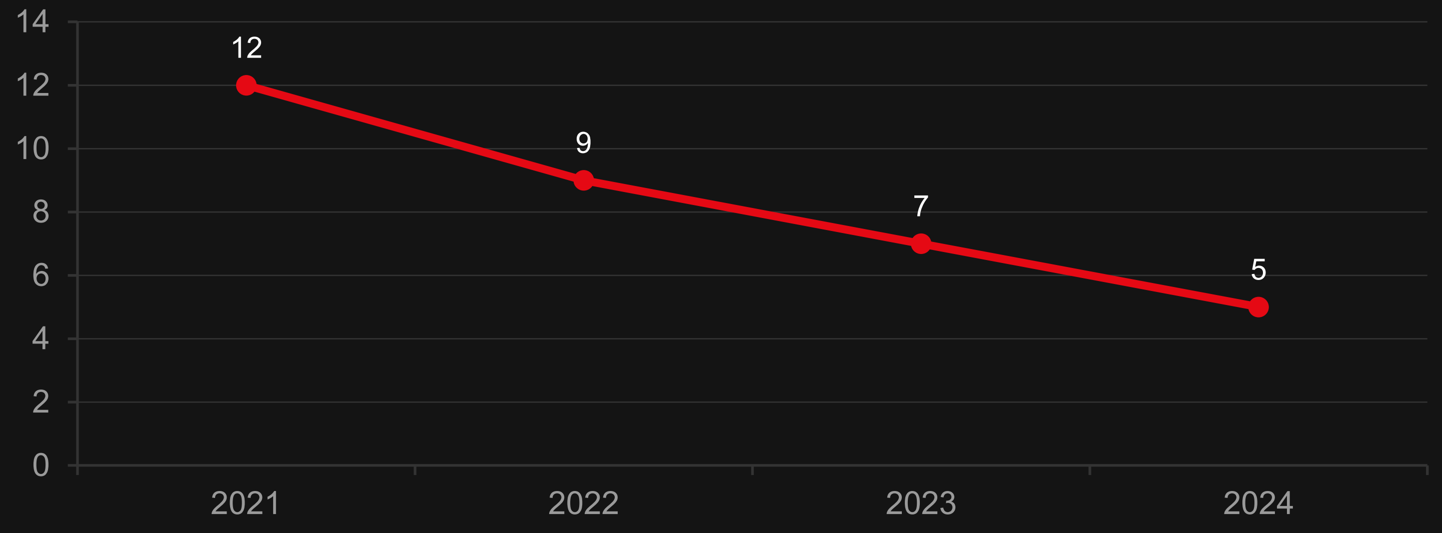
238M
Paid Subscribers
Global base, Q1 2024

5%
YoY Growth
Down from 12% in 2021

$15.49
Monthly ARPU
U.S. & Canada average

3.8%
Quarterly Churn
Industry-leading but rising

Paid Subscriber YoY Growth Rate, 2021–2024



Why It Matters

- Growth has fallen from 12% to 5% in three years as Netflix approaches saturation in its core markets.
- Rising churn and slowing ARPU expansion signal the current playbook is losing effectiveness.
- Reversing the trend requires new levers beyond price increases: personalization, geography, and packaging.

ROOT CAUSE ANALYSIS

Seven Drivers of Subscriber Stagnation

1. Market Saturation

Peak penetration in North America (95%) and Europe (85%) leaves limited headroom for organic growth.

2. Pricing & Competition

Rigid tier structure vs. Disney+ bundling; price sensitivity up 40% YoY in emerging markets.

3. Content & Product

Global content gaps in local languages; AI recommendation engine lags rivals in personalization depth.

4. Competition

Disney+, Prime Video, and HBO Max are closing the gap through bundling and live sports rights.

5. Customer Behavior

Rising churn and cord-cutting fatigue as households reassess the total cost of streaming subscriptions.

6. Product Experience

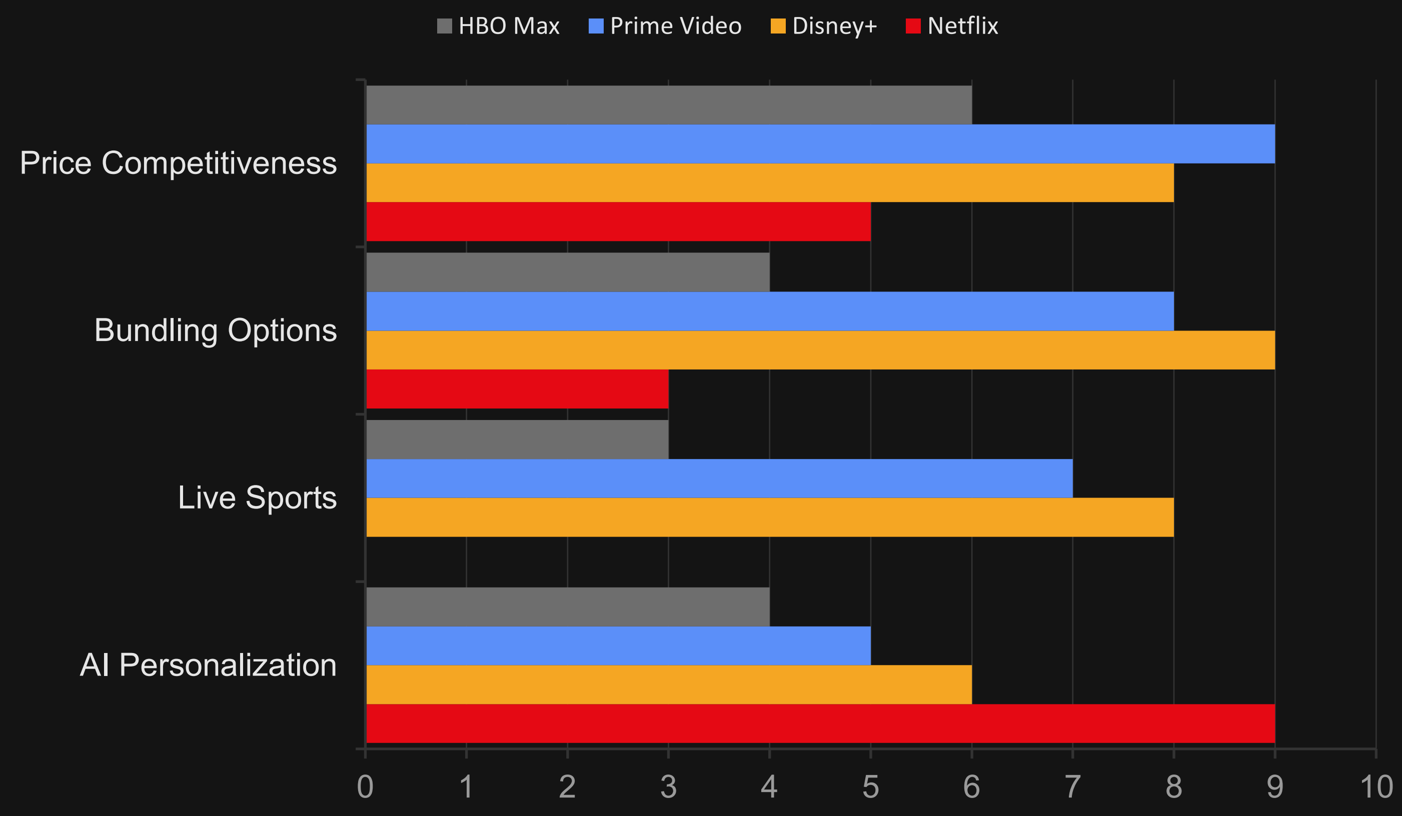
UX friction and content discovery challenges make it harder for viewers to find what keeps them engaged.

7. Technology

Gaps in AI-driven personalization and inconsistent streaming quality versus best-in-class competitors.

COMPETITIVE POSITIONING

Netflix Leads — But Gaps Are Widening



Best-in-Class AI

AI LEADER

Netflix's recommendation engine scores highest of all four platforms, the strongest lever to defend against churn.

Sports Gap

$2B+ VULNERABILITY

Zero live sports coverage leaves Netflix exposed as rivals bundle marquee sports rights to drive retention.

Limited Bundling

WEAK VS. COMPETITORS

Netflix trails Disney+ and Prime Video on multi-service bundles, a key lever competitors use to reduce churn.

AUDIENCE STRATEGY

Four Personas Define the Growth Opportunity

Budget Student

Goal: Affordable content**Pain:** Price increases**Lever:** Student discount

Family Household

Goal: Shared accounts**Pain:** Account-sharing crackdown**Lever:** Family plan

Urban Professional

Goal: Premium, no ads**Pain:** Subscription fatigue**Lever:** AI bundles

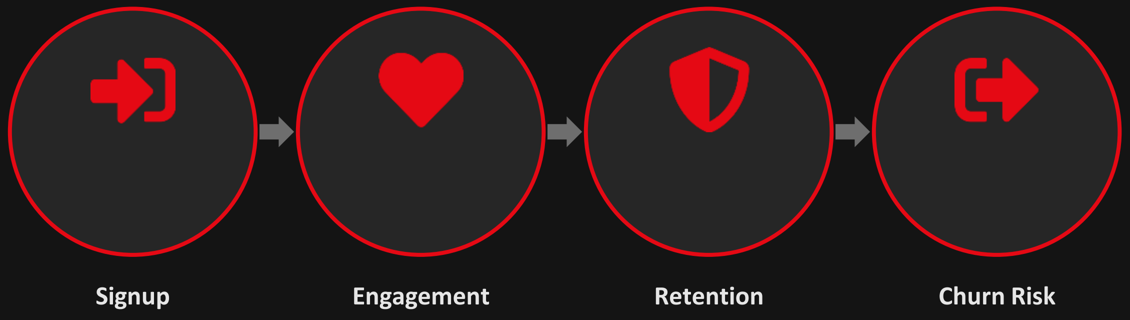
Emerging Market Viewer

Goal: Local language content**Pain:** Lack of local content**Lever:** Regional originals

Persona Sizing & Growth Levers

Persona	Market Size	Growth Potential	Key Lever
Budget Student	45M	+3%	Student discount
Family Household	60M	+4%	Family plan
Urban Professional	50M	+5%	AI bundles
Emerging Market Viewer	120M	+7%	Regional originals

Customer Journey



Persona insights feed targeted onboarding flows and retention offers at each journey stage, reducing drop-off between signup and long-term retention.

STRATEGIC INITIATIVES

Three High-Impact Initiatives

AI Personalized Bundles

AI-curated content and pricing bundles based on individual viewing behavior.

Impact: **+5% subs, lower churn**
Effort: **High**
Timeline: **12 months**
Investment: **$600M**

Regional Content Expansion

Invest in local-language originals across India, LATAM, and Southeast Asia.

Impact: **+7% subs**
Effort: **Medium**
Timeline: **18 months**
Investment: **$700M**

Student & Family Pricing

Discounted student tier plus a family plan with built-in parental controls.

Impact: **+3% subs, improved ARPU**
Effort: **Low**
Timeline: **3 months**
Investment: **$200M**

Summary of Impact, ROI & Timeline

Initiative	Subscriber Impact	Revenue Impact	Investment	ROI	Timeline
AI Bundles	+5% (12M subs)	+$1.8B	$600M	3.0x	12 months
Regional Content	+7% (17M subs)	+$2.1B	$700M	3.0x	18 months
Student & Family	+3% (7M subs)	+$0.9B	$200M	4.5x	3 months
Total	**+15% (36M subs)**	**+$4.8B**	**$1.5B**	**3.2x**	**24 months**

PRIORITIZATION & ROADMAP

Sequence for Maximum Impact

24-Month Implementation Roadmap

1 — Months 1–3

Launch

Student & Family pricing

2 — Months 4–9

Build

AI bundle beta; regional content

3 — Months 10–18

Scale

AI bundles rollout; 12 originals

4 — Months 19–24

Optimize

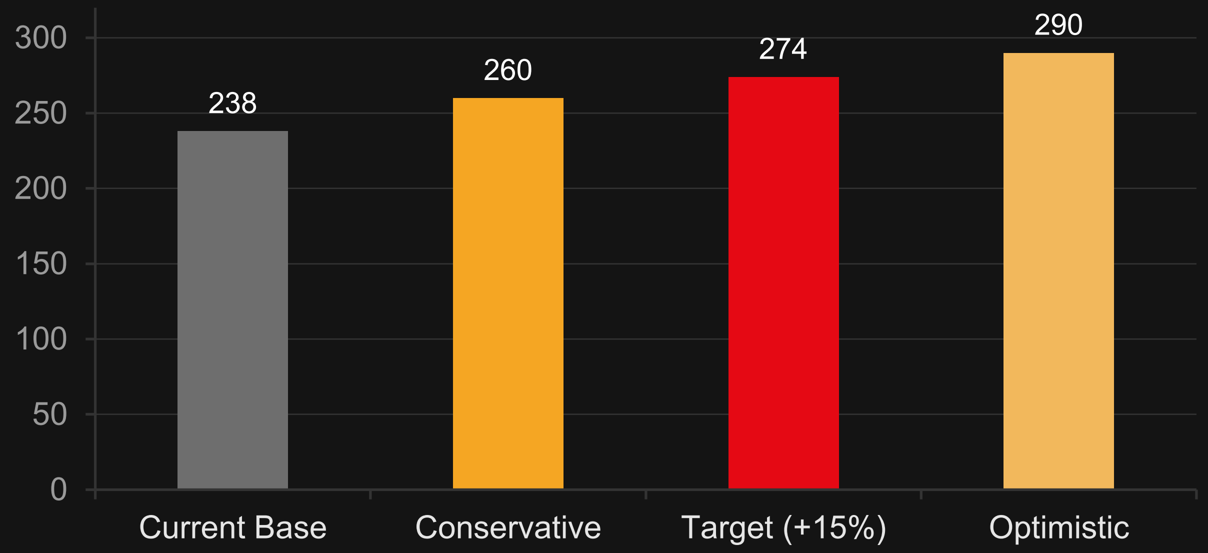
Full optimization; +15% target

Key Milestones & Dependencies

Timing	Milestone	Dependency	Outcome
Q1 2025	Student & Family launch	Pricing engine	Quick-win live
Q2 2025	AI bundle beta	ML training	Market test
Q4 2025	12 regional originals	Content partnerships	Pipeline locked
Q4 2026	Full optimization	All initiatives live	+15% target achieved

FINANCIAL IMPACT

A $4.8B Revenue Opportunity



+36M
Subscribers
274M by 2026

+$4.8B
Revenue
Incremental annual

3.2x
ROI
On investment

$1.5B
Investment
24 months

Revenue Attribution

Initiative	Revenue	Share
AI Bundles	+$1.8B	38%
Regional Content	+$2.1B	44%
Student & Family	+$0.9B	18%

Investment Allocation

Category	Investment	Share
Content	$700M	47%
Technology	$600M	40%
Marketing	$200M	13%

RISK MANAGEMENT

Anticipate Risks. Build Defenses.

Strategic Mitigations

Risk	Likelihood	Impact	Mitigation Strategy	Owner
Competitive Response	High	High	First-mover on AI bundles; deepen the recommendation moat	Product
Content Cost Inflation	Medium	High	Co-productions with local studios; performance-based renewals	Content
Customer Adoption	Medium	Medium	Phased rollout with A/B testing; in-app guided onboarding	Marketing
Technology Execution	Low	High	Partner with proven AI vendors; build internal ML capability	Engineering
Regulatory Challenges	Low	Medium	Local compliance teams; proactive legal review in key markets	Legal

EXECUTIVE SUMMARY

The Path Forward: Three Priorities, One Goal

AI Personalized Bundles

Launch by Q2 2025

Regional Content

12 originals by Q4 2025

Student & Family Plans

Global launch Q1 2025

Comprehensive Summary

Investment Required	$1.5B over 24 months
Expected Subscriber Growth	+36M (238M → 274M)
Revenue Impact	+$4.8B incremental annual revenue
Timeline	24-month phased implementation
Success Metrics	All KPIs tracked quarterly with go/no-go gates

+36M Subscribers

+$4.8B Revenue

3.2x ROI

24 mo Timeline